Indian Multi National Companies			
Company	**Headquarter**	**Type of Industry**	**Countries of operating**
Hero Motocorp	New Delhi	Automobile	Columbia, Bangladesh, Africa
Bajaj	Pune	Automobile	United Arab Emirates(UAE), Bangladesh
TVS	Chennai	Automobile	Brazil,Chile,Colombia, Mexico,Peru
State Bank of India	Mumbai	Banking	Australia,Bangaladesh, Belgium
Bharti Airtel	New Delhi	Communication	South Asia, Africa

these firms posses as compared to national companies.

5. Product innovations:

MNCs have research and development engaged in the task of developing new products and superior designs of existing products.

Advantages of MNC

1. Producing the same quality of goods at lower cost and without transaction cost
2. MNC reduce prices and increase the Purchasing power of consumers world wide
3. A MNC is able to take advantage of tax variation.
4. Spurring job growth in the local economies

Disadvantages of MNC

1. They are a way for the corporations to develop a monopoly (for certain products)
2. They are also a detrimental effect on the environment.
3. The introduction of MNC in to a host country's economy may also lead to the downfall of smaller, local business.
4. MNC breach ethical standards, accusing them of evading ethical laws and leveraging their business agenda with capital.

2.6 Fair Trade Practices and World Trade Organization

Fair Trade is a way of doing business that ultimately aims to keep small farmers an active part of the world market place, and aims to empower consumer to make purchases that support their values.

- Raising and stabilizing the incomes of small-Scale farmers, farm workers and artisans.
- More equitably distributing the economic gains, opportunities and risks associated with the production and sale of these goods.
- Increasing the organizational and commercial capacities of producer groups.
- Promoting labor rights and the right workers to organize.
- Promoting safe and sustainable farming methods and working conditions.

Fair trade is about better prices, decent working conditions and fair terms of trade for farmers and workers.

Principles of Fair trade Organization

- Creating Opportunities for Economically Disadvantaged producers.
- Transparency and Accountability .

FERA (Foreign Exchange Regulation Act 1974)
This Act referred directly to the operations of MNCs in India

FEMA (Foreign Exchange Management Act 1999)
Under FEMA the emphasis is on 'Management' rather than 'regulation'

24_Economics_Unit_2_EM.indd 307 1/4/2022 8:48:09 PM